

Comparing Methods

To compare the two methods, consider the following transactions:

- Customer comes in store on December 21 and purchases a \$700 TV.
- Customer pays for it with a VISA card.
- The next day, the store pays \$50 to have the TV delivered (included in the price).
- On January 24, payment is received from VISA.

Cash Basis

	Account #	Description	Debit	Credit
12/21		Nothing is Recorded		
12/22	1000	Cash-Checking		\$50
	5200	Delivery Expense	\$50	
1/24	1000	Cash-Checking	\$700	
	4000	Sales		\$700

An income statement prepared on December 31 would not show the \$700 revenue, although it would show the \$50 delivery expense:

Accrual Basis

	Account #	Description	Debit	Credit
12/21	1100	Accounts Receivable	\$700	
	4000	Sales		\$700
12/22	1000	Cash-Checking		\$50
	5200	Delivery Expense	\$50	
1/24	1000	Cash-Checking	\$700	
	1100	Accounts Receivable		\$700

An income statement prepared on December 31 would show the \$700 revenue and the \$50 delivery expense. The net income for this transaction would be \$650 (minus the cost of the TV of course).